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Case Number: 24STCV28170 Hearing Date: July 17, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department

508

RITA SEPANIAN,

Plaintiff,

vs.

ASTRANA HEALTH
MANAGEMENT, INC.,

Defendant.

Case No.:

24STCV28170

Hearing Date:

July 17, 2026

Hearing Time: 2:00 p.m.

[TENTATIVE] ORDER RE:

DEFENDANT ASTRANA

HEALTH MANAGEMENT, INC.'S DEMURRER TO PLAINTIFF'S THIRD AMENDED COMPLAINT

Background

Plaintiff Rita Sepanian ("Plaintiff")

filed the instant action on October 28, 2024 against Defendant Astrana Health Management, Inc. ("Astrana"). On April 18, 2025, Plaintiff filed a first amended complaint. On July 30, 2025, Plaintiff filed a second amended complaint. On March 20, 2026, Plaintiff filed the operative third amended complaint ("TAC") against Astrana, alleging three causes of action under the Fair Employment and Housing Act ("FEHA") for (1) race discrimination, (2) age discrimination, and (3) failure to prevent discrimination, harassment, and retaliation.

Astrana now demurs to the

TAC in its entirety. Plaintiff opposes. Astrana replied.

Legal

Standard

A demurrer for

sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.)

In testing the sufficiency of the complaint, the court assumes the truth of properly pleaded factual allegations, facts reasonably inferred from those expressly pleaded, and judicially noticed matters. ((Blank

v. Kirwan (1985) 39 Cal.3d 311, 318.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court, (1984)

153 Cal.App.3d 902, 905.) Accordingly, "[w]hether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer." (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-10.)

Under Code of Civil Procedure section 430.10 subdivisions (e)

and (f), a demurrer may be filed if the pleading is uncertain or does not state facts sufficient to constitute a cause of action. For purposes of ruling

on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment, otherwise, it is abuse of discretion. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Discussion

A. Allegations of the TAC

Plaintiff's

TAC pleads, *inter alia*, that she "was over 40 years old during the time she worked for Defendant" and "is of Caucasian descent." (TAC, ¶ 9.) Plaintiff alleges that she "was to report to Mr. Sim in her role as Vice President of Human Resources." (TAC, ¶ 11.) "Ms. Ho [was] Plaintiff SEPANIAN'S subordinate," and Ms. Ho is "substantially younger than Plaintiff SEPANIAN" and "is of Asian descent." (TAC, ¶¶ 13-14.) Plaintiff alleges that "Ms. Ho was of the belief that someone of her age and background should be in charge of Defendant ASTRANA'S human resources department. Ms. Ho was opposed to Plaintiff SEPANIAN'S hiring and the latter was hired despite Ms. Ho's disagreement with the decision." (TAC, ¶ 16.)

Plaintiff

pleads that throughout her "tenure with the company, Ms. Ho consistently provided Mr. Sim with false, inaccurate, and/or misleading information about Plaintiff's work in the human resources department. Ms. Ho falsely claimed to Mr. Sim that the human resources department was in turmoil, yet Ms. Ho never raised such concerns with Plaintiff SEPANIAN as Ms. Ho's aim was to denigrate Plaintiff SEPANIAN'S standing in the eyes of Mr. Sim." (TAC, ¶ 19.) Further, Plaintiff pleads that "Ms. Ho deliberately sought to destroy Plaintiff SEPANIAN'S relationship with Mr. Sim through her actions. Mr. Sim, in turn, failed to properly look into the false claims that Ms. Ho was raising about Plaintiff SEPANIAN. Instead, seeking to mollify Ms. Ho and adopting her untrue characterizations of Plaintiff SEPANIAN'S work, Mr. Sim decided that he would terminate Plaintiff SEPANIAN'S employment with ASTRANA." (TAC, ¶ 20.) Moreover, "[d]espite Ms. Ho consistently providing Mr. Sim with false, inaccurate, and/or

misleading information about Plaintiff SEPANIAN, Mr. Sim never investigated the veracity of Ms. Ho's claims. Mr. Sim never sat down with Plaintiff SEPANIAN, issued her a verbal warning, written warning, or provided her with any sort of performance improvement plan. Instead, Mr. Sim decided to adopt Ms. Ho's untrue characterizations of Plaintiff SEPANIAN wholesale and without any sort of follow-up or investigation into the untrue allegations Ms. Ho had raised." (TAC, ¶ 21.)

Plaintiff

alleges "Mr. Sim adopted Ms. Ho's assessment of Plaintiff SEPANIAN, an assessment based impermissibly on Plaintiff SEPANIAN'S race and age" and, due to this, "issued Plaintiff SEPANIAN her termination notice, detailing myriad false, inaccurate, and/or misleading information about Plaintiff SEPANIAN'S work at ASTRANA in order to try and mask the discriminatory basis underpinning his decision. Despite listing numerous things that Mr. Sim claimed to have an issue with as to Plaintiff SEPANIAN, Mr. Sim never once spoke with or engaged with Plaintiff SEPANIAN in order to try and address any of the items he asserted he was terminating Plaintiff SEPANIAN over." (TAC, ¶¶ 22-23.)

Plaintiff

pleads that "[t]he pretextual nature of the termination notice Mr. Sim issued Plaintiff SEPANIAN is highlighted by the fact that Mr. Sim listed fifteen examples of things he claimed ASTRANA was unhappy with in regard to Plaintiff SEPANIAN'S work. However, not only was Plaintiff SEPANIAN never consoled [sic] or warned in any way about the items Mr. Sim listed, many of the items Mr. Sim referenced related to the very start of Plaintiff SEPANIAN'S tenure at the company." (TAC, ¶ 24.) Plaintiff alleges that she "never received any sort of write-up or performance improvement plan by anyone at ASTRANA for any of the issues listed by Mr. Sim, despite ASTRANA'S policies and practices calling for such disciplinary measures pre-termination." (TAC, ¶ 25.) "Moreover, Mr. Sim never so much had an informal discussion with Plaintiff SEPANIAN about any of the claimed performance issues... because Plaintiff SEPANIAN'S termination was precipitated by Ms. Ho on the impermissible basis of Plaintiff SEPANIAN'S race and age." (TAC, ¶¶ 25-26.)

B.

First and Second Causes of Action for Age and Race Discrimination

"It is an unlawful

employment practice...(a) [f]or an employer, because of the race, religious creed, color, national origin, ancestry, physical disability, mental disability, reproductive health decisionmaking, medical condition, genetic information, marital status, sex, gender, gender identity, gender expression, age, sexual orientation, or veteran or military status of any person, to refuse to hire or employ the person or to refuse to select the person for a training program leading to employment, or to bar or to discharge the person from employment or from a training program leading to employment, or to discriminate against the person in compensation or in terms, conditions, or privileges of employment." (Gov.

Code (, subd. (a ?YEAR?) § 12940.)

California applies

the burden-shifting formula set forth in *McDonnell Douglas Corp. v. Green* (1973) 411 U.S. 792, 802, under which a plaintiff must first establish a *prima facie* case of discrimination by showing that: (1) he or she was a member of a protected class, (2) that he or she was qualified for and performing competently in the position she held, (3) he or she suffered an adverse employment action, and (4) conduct by the employer suggesting that it is more likely than not that the adverse employment action was due to a discriminatory motive. (*Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 355.)

Astrana

contends that "the TAC identifies Mr. Sim as the decisionmaker (TAC ¶ 23), yet it alleges no specific facts—no statements, conduct, or actions—suggesting that Mr. Sim himself harbored any age-based animus. Instead, Plaintiff attempts to attribute discriminatory motive to Astrana through her subordinate, Ms. Ho, who allegedly 'did not believe' someone of Plaintiff's age should lead the department and provided negative information to Mr. Sim." (Dem., 7:22-24.) Astrana asserts that "[e]ven accepting Plaintiff's allegations regarding Ms. Ho's purported bias, the TAC does not allege facts showing that Ms. Ho was a 'significant participant' in the decision to terminate Plaintiff, as required to support liability." (Dem., 8:1-3.)

Astrana

further contends that "[i]n fact, Plaintiff herself acknowledges that she received a termination notice identifying 'fifteen examples' of deficiencies in her work. TAC ¶ 23. These conclusory allegations are insufficient to establish that discrimination was a substantial motivating factor in the termination

decision... At most, the TAC alleges workplace disagreement and internal criticism, which alone do not give rise to a reasonable inference of unlawful discrimination." (Dem., 8:6-11.)

Plaintiff

opposes Astrana's contentions, first asserting that "[t]he fundamental defect in Defendant's Demurrer is that it improperly seeks to hold Plaintiff to a summary judgment standard at the pleading stage. Defendant complains that Plaintiff fails to provide 'a single example or instance' of discriminatory statements and provides 'no specific, nonconclusory facts' supporting her claims," which "impermissibly demands evidentiary specificity before discovery has even commenced." (Opp., 4:18-22.)

Plaintiff

asserts that she "has clearly and explicitly pled the ultimate facts of her claims: she is a member of protected classes based on her age and Caucasian race (TAC ¶ 9); her younger, Asian subordinate, Ms. Ho, harbored discriminatory animus against her (TAC ¶¶ 14-16); Ms. Ho fed false and misleading information to Co-CEO Brandon Sim to effectuate Plaintiff's termination (TAC ¶¶ 19-20); and Mr. Sim ratified this discriminatory animus by firing Plaintiff without an independent investigation (TAC ¶¶ 21-22)." (Opp., 5:6-11.)

Plaintiff

also asserts that Astrana's "primary substantive arguments, that Plaintiff's discrimination claims fail because Mr. Sim (the decision-maker) lacked a discriminatory motive and Ms. Ho (who allegedly harbored animus) was not a 'significant participant' in the termination decision, are in tension with California law... because Defendant never comes to grips with the 'Cat's Paw' doctrine, a well-established theory of liability under" FEHA. (Opp., 5:14-19.)

"Under

the cat's paw doctrine, [i]f [the formal decision maker] acted as the conduit of [an employee's] prejudice—his cat's paw—the innocence of [the decision maker] would not spare the company from liability. [Citations.] Under this theory, [a plaintiff] must proffer evidence that a significant participant in an employment decision exhibited discriminatory animus." (Martin v. Board of Trustees of California State University (2023) 97 Cal.App.5th 149, 169 [internal quotations omitted].) "[S]howing that a significant participant in an employment decision exhibited discriminatory animus is enough to raise an inference that the employment decision itself was discriminatory, even absent evidence that others

in the process harbored such animus.” (DeJung v. Superior Court (2008) 169 Cal.App.4th 533, 551.)

Plaintiff

contends that the TAC pleads sufficient facts to satisfy the cat’s paw doctrine, since “Plaintiff explicitly alleges that Ms. Ho harbored discriminatory animus” and “[e]ffectuating this bias, Ms. Ho consistently provided Mr. Sim ‘with false, inaccurate, and/or misleading information about Plaintiff’s work.’” (Opp., 6:7-11.) Plaintiff asserts that the “TAC [] identifies a concrete example” and “[c]rucially, the TAC pleads that Mr. Sim entirely failed to investigate Ms. Ho’s claims... , it is legally irrelevant whether Mr. Sim independently harbored discriminatory animus or whether Ms. Ho possessed the formal authority to terminate Plaintiff. By alleging that Mr. Sim acted as an unthinking rubber stamp for Ms. Ho’s discriminatory campaign without conducting an independent investigation, Plaintiff has squarely pled Defendant’s liability.” (Opp., 6:16-22.)

In

response, Astrana points out a key defect that “Plaintiff must plead ultimate facts constituting her FEHA claims, not conclusions that merely recite discriminatory motive and causation. Because the TAC pleads those critical points as conclusions, the challenged claims remain insufficient.” (Reply, 2:25-27.) Astrana continues on to state that “Plaintiff’s Opposition contends that Ms. Ho believed someone younger and Asian should lead Human Resources, that Mr. Sim had a close relationship with Ms. Ho and consulted her on Human Resources matters, that Ms. Ho supplied false information to Mr. Sim, that Mr. Sim failed to conduct an independent investigation, and that Mr. Sim adopted or ratified Ms. Ho’s alleged animus. (Opposition at pp. 3, 5-6) However, these allegations are conclusory and not ultimate facts.” (Reply, 4:4-8.)

Astrana

makes five key points in reply: “[f]irst, the allegation that Ms. Ho believed someone younger and Asian should lead Human Resources states the conclusion Plaintiff must support; it does not supply the facts constituting that conclusion. The TAC does not allege what Ms. Ho said or did that would constitute a race or age-based belief. Although intent may be pleaded generally where supported by factual allegations, the complaint must still contain facts supporting the conclusion.” (Reply, 4:9-13.) “Second, Plaintiff’s allegations that Mr. Sim had a close relationship with Ms. Ho and consulted her on Human

Resources matters are neutral, do not plead facts constituting race or age animus, and do not allege that Ms. Ho supplied the stated reasons for termination. That distinction matters because Cat's Paw liability requires more than involvement by a non-decisionmaker; it requires discriminatory animus by a meaningful participant..." (Reply, 4:17-21.) "Third, Plaintiff's only identified example of allegedly false information is Ms. Ho's alleged statement that the Human Resources department was 'in turmoil.' (Opposition at p. 3; TAC ¶ 19). This allegation describes a workplace-performance criticism." (Reply, 4:28-5:2.) "Fourth, Plaintiff's allegations that Mr. Sim did not conduct an independent investigation, did not previously counsel Plaintiff, did not issue discipline, and did not place Plaintiff on a performance improvement plan do not cure the defect." (Reply, 5:10-12.) "Finally, Plaintiff's allegation that Mr. Sim "adopted" or "ratified" Ms. Ho's alleged animus restates the Cat's Paw theory rather than pleading facts constituting it. The TAC does not allege what race or age-based view Mr. Sim allegedly adopted." (Reply, 5:17-19.)

The

Court finds that Plaintiff's TAC does not properly plead the necessary facts to support a discrimination cause of action. Plaintiff's main contention is that she does plead facts to support her causes of action because she pleads racial and age-based animus and that Ms. Ho acted as a conduit for Mr. Sim's actions, leading to her termination. However, the flaw in her pleadings, as Astrana identifies in its papers, is that Plaintiff pleads legal conclusions, rather than necessary specific events or situations, that led Ms. Ho to harbor animus against Plaintiff or that Ms. Ho was the cause of Mr. Sim's termination of Plaintiff. Without these specific allegations, Plaintiff's complaint is not based on facts but instead solely on her beliefs. Although Plaintiff asserts Astrana's demurrer attempts to turn this into a "summary judgment standard at the pleading stage" (Opp., 4:19), pleading ultimate facts in a complaint does not yet meet the standard for summary judgment, because the facts of the complaint are taken as true. Without factual allegations demonstrating discriminatory motive and belief, Plaintiff's age and race discrimination causes of action cannot withstand demurrer. Accordingly, the Court sustains the demurrer to the first two causes of action. Plaintiff must plead ultimate facts, not legal conclusions.

C.

Third Cause of Action for Failing to Prevent
Discrimination, Harassment, and Retaliation

Government Code (, subdivision (k ?YEAR?) section 12940, prohibits an employer from failing “to take all reasonable steps necessary to prevent discrimination and harassment from occurring.” ٧ “An employer who knows or should have known of unlawful harassment and retaliation, and fails to take immediate and appropriate corrective action, may be liable for the resulting damages... However, because the statute does not create a stand-alone tort, the employee has no cause of action for a failure to investigate unlawful harassment or retaliation, unless actionable misconduct occurred.” (Thompson v. City of Monrovia (2010) 186 Cal.App.4th 860, 880.)

As for the third cause of action, Astrana asserts that “[a]s discussed above, Plaintiff has failed to state a claim for age or race discrimination under FEHA. Therefore, the demurrer should be sustained...” (Dem., 10:4-5.) Because the third cause of action for failing to prevent discrimination, harassment, and retaliation cannot stand alone, and the Court sustained the demurrer as to the first and second causes of action, the third cause of action must similarly be sustained.

Conclusion

Based on the foregoing, Astrana’s demurrer to the first, second, and third causes of action is SUSTAINED with leave to amend.

Plaintiff is ordered to file and serve an amended complaint, if any, within 20 days of the date of this Order. If no amended complaint is filed within 20 days, the Court orders Astrana to file and serve a proposed judgment of dismissal within 30 days of the date of this Order.

Astrana is ordered to give notice of this Order.

DATED: July
17, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior
Court